

ENRICHMENT ACTIVITIES

PROJECT WORK

Elections: Then and Now

Interview older family members or neighbours about their experiences as voters 20 years ago. Compare their experiences with how people participate in democracy today.

Step 1: Ask them about the following and record their responses:

- The voting process back then
- Whether they attended any political party rallies
- How they decided whom to vote for

Step 2: Create a report comparing their participation in democracy 20 years ago with how people participate today. Highlight any differences or similarities in the process.

Step 3: Present your report in class.



CROSS-CURRICULAR CONNECT

Performing as a TV Reporter (English)

Imagine that your community is struggling with public healthcare due to a lack of hospitals, qualified doctors, and treatment facilities. Your task is to create a TV news script addressing this issue. In your presentation, you should

- Describe the current state of public healthcare facilities in your area
- Explain how these issues are impacting the residents
- Suggest actions the government and community can take to address the problems and improve healthcare



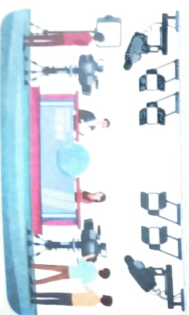
FIELD TRIP

Visiting a Local Newspaper Office or Media House

Visit a local newspaper office or media house. While you are there, observe how the editorial team selects and presents news stories. Interview journalists and ask them how they decide which issues to cover. Here are some questions you can ask:

- How do they choose which problems to write about?
- How do they learn about these issues?
- What do they think about when writing these news stories?

- Do they suggest solutions or consult with local government officials if problems are not being solved?
- Make a note of your findings and present them in class.



Economic Life around Us

17. Markets around Us



IN THIS CHAPTER, YOU WILL...

- Learn about the different types of markets and their functions.
- Understand how goods reach us through a chain of markets.
- Understand how markets can create inequalities.
- Learn how markets affect our lives.

CONNECTIONS TO OUR LIFE

- We all need a variety of goods and services to live comfortably. Markets provide access to these goods and services.
- Many people around us earn a livelihood by working in markets.
- Learning how to shop responsibly will help us make good decisions on what to buy and where to buy it from.

BIG IDEA

Different types of markets exist around us. They provide access to goods and services and help us satisfy our needs. Markets also help the people who produce and sell these goods and services to earn living.

LET'S BEGIN

In the previous chapter, we learned how advertisements try to get our attention and make us buy products. Where do we go to buy these products? Do we get all of them in one shop? Let us do an activity to understand this better.

ACTIVITY 1

Imagine that you have to buy the following items:

- 1 bathing soap
- 2 chart papers
- 1 kg tomatoes
- A pair of branded shoes
- 2 kg of rice
- 1 metre of green cloth
- 1 bag of fertiliser
- 2 bags of cement

Discuss the following questions with your partner:

- (a) Where would you go to buy these items?
- (b) Can you buy all these items at one place?

You will likely buy these items at different types of shops. You may even have to visit different markets to find these shops. In this chapter, we will learn about markets and their role in our lives in detail. We will learn about different types of markets and how they work, how goods reach us through these markets, how markets sometimes create inequality, and how we can work together to solve this problem.

17.1 MARKETS AND THEIR TYPES

A **market** is a place where buyers and sellers go to exchange goods, services, and information for a price. How do these goods reach the market? How many hands do these goods pass through before they reach us? There are three types of people involved in buying and selling goods: producers, traders, and consumers.

KEYWORDS

intermediaries: links between two people or groups

1. Producers

They produce goods and provide services for consumers to use. For example, a farmer who grows rice to sell in the market

2. Traders

They act as **intermediaries** between producers and consumers. It means that they buy goods from producers and sell them either to a store or to the consumer directly. For example, a trader who buys rice from a farmer and sells it to a store or to consumers

3. Consumers

They buy goods and services for their own use. For example, a person who buys rice from a store for themselves or their family

Types of Markets

As discussed in Activity 1, goods are bought and sold in different types of markets. Sometimes, the same item is sold at different prices in two different markets. What are the different types of markets and what are their functions?

Markets can be divided into two main types – wholesale markets and retail markets.

KEYWORDS

bulk: a large quantity
overhead: regular business costs
credit: an agreement between a consumer and a shopkeeper to pay later for things the consumer buys

Scan here



To learn about the types of markets.

1. Wholesale Markets

Wholesale markets are markets where goods are bought and sold in **bulk**. The buyers here are traders, who buy in large quantities and sell further to consumers. The sellers are producers who grow or make the goods. Since the goods are sold in large quantities, the prices are low. There are different wholesale markets for different types of goods as they require large spaces.



2. Retail Markets

Retail markets are markets where consumers buy goods that they need. Retailers buy goods from wholesale markets for their stores. Then, they sell these goods to consumers in small quantities. A retail market has shops that sell a variety of goods. The prices of goods in these shops are higher than in wholesale markets.



So, whenever you buy something, you are likely to buy it at a retail market. However, retail markets are also of many different types. Let us learn about some of them.

Neighbourhood markets are small markets in our neighbourhoods. They sell daily necessities, such as vegetables, bread, milk, and school supplies. They have a mix of street stalls as well as bigger shops and stores. These shops have to bear overhead costs such as electricity bills, rent, and salaries of their employees. We depend on these markets because they are close to our homes and help us meet our basic needs. Some stores also let consumers buy goods on **credit** and pay their bills once a month.

Weekly markets are markets that happen once a week. They are also called **haata bazaars** or **saptahik bazaars**. These markets have temporary stalls selling things such as vegetables, clothes, and small household goods. Unlike neighbourhood markets, the stalls in weekly markets are packed up and removed at the end of the day. Since there are no overhead costs like rent, prices in weekly markets are lower.



Branded stores are stores that only sell goods from one brand. These are usually large, air-conditioned stores with large windows where the goods are displayed. They sell goods like clothes, shoes, vehicles, and electronic items such as phones and computers. As we learned in the previous chapter, brands use advertisements in the media to attract customers to these stores. Apart from advertising costs, branded stores also have to pay high overhead costs. So the prices of branded goods are higher than those of non-branded goods sold in smaller shops.



Supermarkets are large, multi-storied, air-conditioned stores where people can buy a wide variety of products. These products can be categorised under different sections such as fruits and vegetables, stationery, and other household items. Supermarkets offer a convenient shopping experience with everything available in one place. However, the prices in a supermarket are higher due to the high overhead costs involved.



Shopping malls or shopping complexes are large, multi-storied, air-conditioned buildings with a variety of shops, restaurants, movie theatres, and game centres inside them. The shops sell branded goods and are often more expensive than those in neighbourhood markets. They have to pay high overhead costs, which also makes the prices higher.



As more people now have access to the internet, shopping online is growing more popular. **Online retailers** are websites or apps that help us buy things we need using the internet. As online retailers do not have physical stores, they have lower overhead costs. This is why online shopping is often cheaper than shopping in malls. However, you may have to wait a few days to receive the product you have bought. Online shopping is convenient and offers the largest variety of goods in one place.

17.2 THE CHAIN OF MARKETS



Now that we know about the different types of markets, let us see how these markets work together to bring us goods and services. The system where goods move from the producer to the consumer through a series of markets is called a **chain of markets**. Let us understand how a chain of markets works through the journey of a mango – from a farm to your hands.

Read the flowchart on the next page to understand how a mango goes from the producer to you, the consumer.



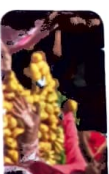
1. Producers
In a mango farm, farmers are the producers. Mangoes are grown and harvested by farmers. They have a large yield of hundreds of kilos of mangoes every year. They sell these mangoes in bulk to different wholesale traders.



2. Wholesale Traders
Wholesale traders buy mangoes in bulk directly from the farmers at low prices and store them in safe facilities. To cover these costs and make a profit, they sell the mangoes in smaller quantities at a slightly higher price to retail traders.

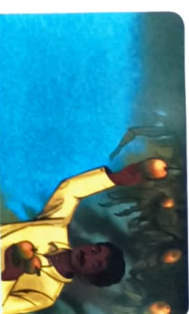


3. Retail Traders
Retail traders buy mangoes in smaller quantities from wholesale traders. To cover the overhead expenses and make a profit, they sell the mangoes in much smaller quantities to consumers at higher prices.



4. Consumers
Consumers purchase mangoes from retail traders in very small quantities for their own consumption.

We can observe that as the mango moves further down the chain, its price keeps increasing. While consumers like us pay the highest price, the farmer who grows the mangoes actually receives the lowest price for them. This is because the middlemen in the chain – the wholesale and the retail traders – also have to cover their own costs and make some profits. A **profit** is the money that a producer or a seller earns after paying the costs of creating, transporting, and selling goods. Let's see how this works using the example below.



Vinayak, the mango farmer, spends ₹3,000 on fertilisers, pesticides, and other farming supplies. He sells his harvest of 500 kg for a price of ₹10,000. After covering his costs, he is left with ₹7,000. This means he has earned a profit of ₹14 per kg.



Ahmed, the wholesale trader, spends ₹30,000 to buy 1,500 kg of mangoes from farmers like Vinayak. He sells the mangoes to different retailers for ₹75,000. After spending ₹10,000 on rent for a warehouse, transport costs, and salaries to his employees, he earns a profit of ₹35,000, or around ₹24 per kg.



Badri, the owner of a grocery store, buys 20 kg of mangoes from Ahmed for ₹1,000. He sells the mangoes to his customers for ₹100 per kg. He earns ₹2,000, of which he spends ₹400 on rent and other costs. This leaves him with a profit of ₹600, or ₹30 per kg.

In this example, we see that Vinayak earns the lowest profits. Why doesn't he sell the mangoes directly to customers and earn larger profits? This is because producers like Vinayak cannot sell their products in small quantities.

The reason why middlemen like Ahmed and Badri earn higher profits is because they can spend money on facilities like a warehouse or a shop. So they also bear higher costs than Vinayak, which enables them to earn higher profits.

Inequalities in the Chain of Markets

As we saw from the example above, producers earn the lowest profits in the chain of markets. Even when prices are high, it is the middlemen like wholesale traders and suppliers who gain from these high prices. This is how markets cause inequality or unfairness. This affects both consumers and producers in different ways as given below.

- Consumers pay a high price for goods. This means that some consumers may not be able to pay for certain goods that they find too expensive.
- Producers, such as farmers and craftspeople, earn very little even after working very hard. This makes it difficult for them to support themselves and their families.
- Producers also do not always benefit from a rise in prices. For example, mangoes are cheaper in summer, when they are harvested. At other times of the year, they may be expensive and harder to find. However, a farmer like Vinayak cannot store his mangoes and sell them when prices are high. Wholesale traders like Ahmed and retailers like Badri have storage facilities where they can keep some mangoes in storage and sell them when the prices rise.
- Sometimes, middlemen can even drive up the prices of goods by selling them in smaller quantities and creating a shortage in the market. This creates hardships for consumers.
- All middlemen do not earn the same amount of profit. For example, the owner of a supermarket may earn more profits than the owner of a small grocery store. This is because the supermarket owner can spend more money on a larger shop and a bigger variety of goods.

Thus, the chain of markets creates inequalities in many ways. Some people barely earn enough to meet their basic needs. They continue to live in poverty despite working hard. Others earn huge profits and grow wealthy. Thus, it is important for markets to have some rules and regulations, so that producers and sellers earn reasonable profits and consumers can buy good quality products at affordable prices. You will learn about such rules and regulations in the next chapter.

17.3 HOW COOPERATIVES REDUCE MARKET INEQUALITIES

We know that the chain of markets can often be unfair to producers. But did you know that there is a way to fight this inequality? It is through the formation of cooperatives. Let us learn more about it.

A **cooperative** is an organisation formed by people who share common interests and work towards common goals. In India, some farmers and producers of other goods have formed cooperatives so that they can reduce their dependence on middlemen or agents such as local traders and merchants. This means that they can combine their resources to produce and sell goods on their own.

Advantages of Cooperatives

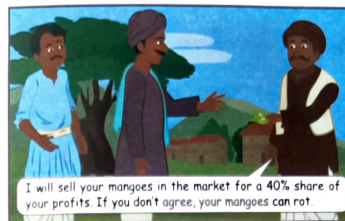
There are several benefits of being a member of a cooperative. Here are a few reasons why farmers should form a cooperative:



- Easy to form:** Farmers can form a cooperative with as few as 10 members. It involves a simple process of registering the association under the Cooperative Societies Act, 1912.



- Reduces dependence on middlemen:** Members can combine their resources to produce and sell goods on their own, without having to rely on middlemen who may take a large share of the profits.



- Follows a democratic process:** Cooperatives are managed democratically, with every member having an equal right to participate in their functioning and decision-making. Decisions are usually taken through voting on different issues, where every member's vote is taken into account and given equal importance.
- Receives government support:** The government buys products from cooperatives at reasonable prices, ensuring that members receive a fair income. Additionally, the government provides loans to cooperative members at low interest rates to help them buy supplies and storage facilities.



Thus, forming a cooperative enables farmers to earn a fair price for their hard work. It also ensures a supply of high-quality products to the market at a reasonable cost for consumers, thereby reducing market inequality.

COMMUNICATE

Discuss with your partner whether it is easier for a farmer to sell their produce directly to consumers on their own or to become a part of a cooperative with other farmers. Share your reasoning with your table group.

17.4 ROLE OF MARKETS IN OUR LIVES



Markets affect our lives in many ways, some that we can observe every day and others that we may not be aware of. Let us understand some ways in which markets affect our lives.

1. Availability of Goods and Services

Markets help us find many different things from all over the world. We can get goods such as tasty snacks, new clothes, and the latest gadgets in the markets around us. Through online shopping, we can also easily buy things unavailable in our own town from distant places.

2. Bringing Producers and Consumers Together

Markets act as a common platform for producers and consumers to interact with each other. Producers can showcase their products, and consumers can see and choose what they want to buy.

3. A Strong Economy

Many people earn a living by selling goods and services in the markets. When people earn money, they also spend it, benefitting other sellers. The competition among different stores in the market leads to better prices and quality products for consumers. All of this encourages the production of goods, creating more jobs.

4. Influence on Lifestyle and Culture

Markets can change the way we live by introducing us to new things and ideas. This can make us want different things and even change how we live our lives. For example, today, we eat food items like pizzas and burgers that are not a part of our local cuisines and actually originated in far-off countries.

Demand versus Supply Theory



One of the most important functions of a market is to set the prices we pay for goods. Prices are set depending on two factors: demand and supply. **Demand** means the need for products and services by consumers. **Supply** means the available amount of goods and services in a market.

How does demand and supply interact to set the price of an item? When a lot of people want a product but there is not enough of it, the price goes up. When a product has a high supply but not many people want to buy it, the price goes down.

For instance, during the rainy season, when many people want raincoats, and there are not many available, the price of raincoats goes up. But during summers, even if a lot of raincoats are available, not many people would want them. So, the price of raincoats would go down.

Understanding how the demand and supply theory works can help us make good choices when we buy things. If we know that the price of certain goods is likely to go down, we may decide to buy them later and save money.



Fig. 17.1: The demand and supply theory

Mindful Buying



Imagine that you are in a stationery store and you see different kinds of pens and pencils. You may want to buy them all, but should you do so? What effects can your decision as a consumer have? As consumers, we also play an active and important role in the market. Our choices can make markets fairer and better for our environment. How can we make the right choices? We can do so by following a principle called mindful buying.

- **Mindful buying** means making conscious choices about the things we buy, based on our needs and values. It involves asking ourselves questions like 'Do I really need this item?' and 'Is this product made in a sustainable way?' before making a purchase.
- Mindful buying is essential because it helps us make informed decisions and save money. It also helps us cut down on buying things we do not need, thereby creating less waste. This also has a positive impact on the environment.
- We can choose to support local businesses and cooperatives, thus supporting equality in the market.

COLLABORATE

Create an imaginary market in your table group. Two students in the group will act as sellers and two will act as buyers.

The sellers will have to decide on a fair price for goods such as notebooks, pens, and pencils.

Hint: Consider how good the items are, what it costs to make them, how many there are, and how many people want to buy them.

The buyers can buy the items after considering the price of each item and the variety offered.

After the activity, discuss the following:

1. Did the sellers set a fair price?
2. Did the buyers buy the goods? What made them take the decision?

CONNECT TO LIFE

Using an old notebook, create a 'Mindful Buying' diary. Note down the things you purchase and their prices. Then, write whether you thought carefully before buying them. After you have used an item for some time, write about whether it fulfilled your needs and whether you will buy it again. Over time, this will help you become a more mindful consumer.

DID YOU KNOW?

In India, small kirana shops still make up about 80% of the retail market. Even though online shopping is growing, many Indians prefer to buy from these local stores, supporting small businesses. Mindful buying is not just about what we buy, but also where we spend our money!

KEYWORDS

sustainable something that does not harm the environment, so that it can be continued for a long time

LET'S REVISE

Topic	Important Points
What is a market?	• A place where people buy and sell goods and services • Can be physical (like a shop or marketplace) or virtual (like an online shopping website or app)
Types of Markets	• Wholesale and retail markets • Types of retail markets – neighbourhood markets, weekly markets, branded stores, supermarkets, shopping malls, online retailers
Chain of Markets	• A system through which goods move from producers to consumers through middlemen, such as wholesale traders, suppliers, and retail traders • Causes inequality as producers earn less than middlemen
Cooperatives	• Organisations of producers who come together for their mutual benefit • Allow producers to sell goods at fair prices and reduce dependence on middlemen
Role of Markets in Our Lives	• Provide access to goods and services • Act as a platform to bring producers and consumers together • Make the economy stronger and influence lifestyle and culture

EXERCISES

A. Fill in the blanks.

- _____ produce goods and provide services for consumers to use.
- Markets that sell daily necessities and have a mix of street stalls and bigger shops are called _____.
- The system where goods move from the producer to the consumer through a series of markets is called a _____.
- Cooperatives help farmers sell their produce directly to consumers, reducing their dependence on _____.
- _____ in the market leads to better prices and quality products for consumers.

B. Choose the correct answer.

- Which of the following markets happens once a week?
 - Weekly markets
 - Supermarkets
 - Neighbourhood markets
 - Wholesale markets
- Which of the following markets sells goods from only one brand?
 - Supermarkets
 - Shopping malls
 - Branded stores
 - Retail markets
- Which of the following is an organisation formed by people with shared interests and goals?
 - Wholesale markets
 - Retail markets
 - Cooperatives
 - Shopping malls
- Which of the following is NOT a role that markets play in our lives?
 - Making goods and services available
 - Linking producers and consumers
 - Building a strong economy
 - Promoting mindful buying

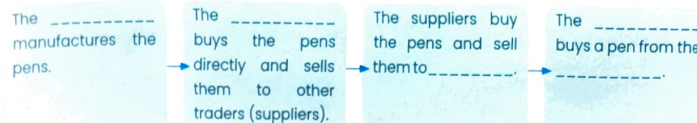
C. Write True or False. Rewrite the false statements correctly in your notebook.

- There are different wholesale markets for different types of goods as they require large spaces.
- Online retailers have high overhead costs.
- In the chain of markets, the price of a product increases at every step.
- Members of a cooperative society depend on middlemen to sell their goods.
- If there is a high demand for a product and its availability is low, the price of the product will decrease.

D. Complete the following table on the different types of retail markets.

Type of Market	Types of Shops	Types of Goods Sold	Prices (High/Low)
Weekly markets			Low prices
Neighbourhood markets			
Branded stores			
Shopping malls			High prices
Online retailers	No physical stores		

- E. Fill in the blanks in the flowchart given below to trace the journey of pens from the producer to the consumer.



- F. Complete the following passage with the correct words from the boxes below.

jobs

economy

convenient

lifestyle

access

competition

Markets have a significant impact on our lives. They provide us with _____ to various goods and services, making our lives more _____. We can find almost anything we need, from food to clothes to electronic appliances, in markets. Moreover, markets create _____ among sellers, which leads to better quality products, lower prices, and more choices for consumers. This allows us to find products that best suit our needs and preferences. Lastly, markets play a crucial role in the _____. They facilitate trade, encourage the production of goods and services, and generate more money and _____. They also introduce us to new ideas, influencing our _____ and culture.

G. Answer the following questions in brief:

- What are the two main types of markets? Write any two differences between them.
- What is the difference between a producer and a consumer?
- How can the chain of markets create inequalities for the different people involved?
- What are cooperatives?
- How do markets affect our lives?

H. Answer the following questions in detail:

- Describe the three types of people involved in buying and selling goods, using an example for each.
- Explain why the price of an item increases as it moves through the chain of markets.
- Explain how inequalities in the chain of markets affect:
 - producers
 - consumers
- How does a cooperative reduce inequality in the chain of markets? Explain with the help of an example.
- What is mindful buying? How does it impact us?

I. HOTS – Think and answer.

- Why do you think ordinary consumers usually do not buy things they need at wholesale markets?
- How can understanding the demand versus supply theory change the way we buy goods?

J. Competency-based questions

- Can you think of a product you recently purchased? Trace its journey from the producer to the final consumer. Think about any inequality that may happen along the way and how it can be fixed.

2. Read the scenario given below and answer the questions that follow.

Ravi — the notebook producer

Ravi spends ₹20,000 to produce 2,000 notebooks. He sells them to a wholesaler for ₹36,000. After covering his costs, he is left with ₹16,000, earning a profit of ₹8 per notebook.

Nina — the wholesale trader

Nina buys 2,000 notebooks from Ravi for ₹36,000. She spends ₹6,000 on warehouse rent, transport, and salaries. She sells the notebooks to various retailers for ₹60,000. After costs, she earns a profit of ₹18,000, or ₹9 per notebook.

Ramesh — the stationery shop owner

Ramesh buys 100 notebooks from Nina for ₹3,000. He sells each notebook for ₹70, earning a total of ₹7,000. After spending ₹500 on rent and other costs, he earns a profit of ₹3,500, or ₹35 per notebook.

- (a) Who makes the most profit and why?
(b) What can Ravi do to maximise profits?

REFLECTIONS

1. What is one new thing you learned about markets in this chapter? How do you think it will impact your life?

2. Have you ever experienced unfairness or inequality in a market? What happened and how did it make you feel?

3. After studying this chapter, will you make any changes in your habits as a consumer? What changes will you make and why?



Economic Life around Us

18. Government's Role in Market Regulation



IN THIS CHAPTER, YOU WILL ...

- Understand the need for laws that help regulate markets.
- Learn about the laws that help regulate markets in India.
- Understand the challenges in regulating markets.

CONNECTIONS TO OUR LIFE

- Market regulation protects us from unfair trade practices and false advertising. It ensures that the products and services we use are safe and of good quality.
- Market regulation promotes the use of environment-friendly technologies and practices, which helps preserve our environment for both current and future generations.

BIG IDEA

Market regulation plays a crucial role in ensuring that traders, workers, and consumers are treated fairly and that markets operate in a safe and transparent manner.